



United States
Attorney's Office
Northern District of California



California Behavioral Medicine Provider Agrees To Pay \$2.75 Million To Resolve Alleged False Claims For Psychotherapy Services

Tuesday, August 19, 2025

For Immediate Release

U.S. Attorney's Office, Northern District of California

SAN FRANCISCO – American Psychiatric Centers, Inc., doing business under the name Comprehensive Psychiatric Services (CPS), has agreed to pay \$2.75 million to resolve allegations that CPS violated the False Claims Act by submitting false claims to government healthcare payors for certain psychotherapy services.

CPS, which is headquartered in Walnut Creek, Calif., provides behavioral medicine services for individuals and families in the State of California. Since at least 2015, CPS and its healthcare providers have submitted claims to government payors using Current Procedural Terminology codes 90833 and 90836, which are “add-on” codes to be used when psychotherapy services are performed in conjunction with an evaluation and management visit, and which require specific documentation.

The settlement announced today resolves the government’s allegations that, from Jan. 1, 2015, through Dec. 31, 2022, CPS submitted fraudulent claims using these add-on codes in instances where its healthcare providers either had not provided the services described by those codes or had failed to sufficiently document that such services had been provided. CPS will pay \$2,615,569.32 to the United States and \$134,430.68 to the State of California.

“Providers that participate in federally funded health care programs must abide by the rules and submit proper claims for care that was in fact rendered. To do otherwise is to drain resources from our fellow Americans who rely on Medicare and other government programs. This settlement sends a clear message that we will continue to investigate and pursue any entity that fraudulently seeks to increase profits at taxpayers’ expense,” said United States Attorney Craig H. Missakian.

"Holding health care providers accountable for submitting false claims to Federal health care programs is crucial for ensuring that taxpayer funds are appropriately used and for maintaining the American public's trust," said Acting Special Agent in Charge Jeffrey McIntosh of the Department of Health and Human Services Office of Inspector General (HHS-OIG). "Working closely with our law enforcement partners, our agency remains dedicated to protecting taxpayer-funded programs that deliver essential behavioral health services."

"Today's outcome concludes a collaborative effort to hold Comprehensive Psychiatric Services accountable for its improper billing practices. These actions undermined our Federal health care system, including the Department of Defense's TRICARE program," said John E. Helsing, Acting Special Agent in Charge for the Department of Defense Office of Inspector General, Defense Criminal Investigative Service (DCIS), Western Field Office. "DCIS will continue to work closely with our law enforcement partners and the Department of Justice to investigate health care providers that seek to enrich themselves at the expense of the American taxpayer."

"Veterans and their families expect and deserve the highest quality healthcare delivered in a safe and accountable setting," said Special Agent in Charge Dimitriana Nikolov with the Department of Veterans Affairs Office of Inspector General's Northwest Field Office. "This settlement is a testament to the VA OIG's commitment to safeguarding the integrity of VA's healthcare programs and preserving taxpayer funds."

"False claims increase costs and undermine the integrity of our federal health care programs, including the Federal Employees Health Benefits Program," said Derek M. Holt, Special Agent in Charge, the U.S. Office of Personnel Management Office of the Inspector General (OPM OIG). "We support the work of our law enforcement partners and colleagues to investigate fraudulent medical billing that wastes taxpayer dollars."

Assistant U.S. Attorney Kelsey Helland handled this matter for the government, with the assistance of Garland He. The investigation and settlement resulted from a coordinated effort by the U.S. Attorney's Office for the Northern District of California, HHS-OIG, DCIS, VA OIG, OPM OIG, and the California Department of Justice, Division of Medi-Cal Fraud and Elder Abuse.

The investigation and resolution of this matter illustrates the government's emphasis on combating healthcare fraud. One of the most powerful tools in this effort is the False Claims Act. Tips and complaints from all sources about potential fraud, waste, abuse, and mismanagement can be reported to HHS at 800-HHS-TIPS (800-447-8477).

The claims resolved by the settlement are allegations only; there has been no determination of liability.

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